master environmental problems and to make them profitable for the company, or to state a few facts about the remark-able people-effectiveness program at Texas Instruments. However, if another company decided to start programs like these from scratch, the problems that could arise might be infinitely more complicated than merely persuading a board of directors to approve the necessary appropriation. Programs of this kind are easy to formulate, but their implementation is a quite different matter. Mistakes can be very costly. It is not hard to imagine what might happen if a training school such as Motorola's selected the wrong people for promotion, with the result that the best junior talent quit the company in disgust. Similarly, suppose a company tried to follow, in general, a people-effectiveness plan but either failed to create an atmosphere where workers genuinely felt themselves involved or failed to compensate their employees adequately, with the result that they became disillusioned. The misapplication of such a program could literally wreck a company. Meanwhile, companies that do perfect advantageous people-oriented policies and techniques usually find more and more ways to benefit from them. For these com-panies, such policies and techniques—these special ways of approaching problems and of solving them—are in a sense *proprietary*. For this reason they are of great importance to long-range investors.

3. Management must be willing to submit itself to the disciplines required for sound growth.

It has already been pointed out that in this rapidly changing world com-panies cannot stand still. They must either get better or worse, improve or go downhill. The true investment objective of growth is not just to make gains but to avoid loss. There are very few companies whose managements will not make claims to being growth companies. However, a management that talks about being growth-oriented is not necessarily actually so oriented. Many companies seem to have an irresistible urge to show the greatest possible profits at the end of each accounting period— to bring every possible cent down to the bottom line. This a true growth-oriented company can never do. Its focus must be on earning sufficient current profits to finance the costs of expanding the business. When adjustment for earning the required additional financial strength has been made, the company worthy of farsighted investment will give priority to curtailing maximum immediate profits when there are gen-uine worthwhile